Blurt sheet - Unit 3.7 Analysing the strategic position of a business

3.7.1 Mission, Objectives & Strategy

- **Strategy:** long-term plan to achieve corporate objectives
- **Tactics:** short-term actions supporting the strategy
- **Corporate objectives:** targets for the whole business
- **Functional objectives:** targets for marketing, operations, finance and HR

3.7.1 Influences on Objectives & SWOT

- **Short-termism:** pressure for quick results, e.g. from shareholders
- **SWOT:** strengths and weaknesses (internal); opportunities and threats (external)
- **Influences on objectives:** ownership, internal and external environment, short-termism

3.7.2 Financial Statements & Ratios

- **Income statement:** revenue, costs and profit over a period
- **Balance sheet:** assets, liabilities and equity at one point in time
- **ROCE (%):** operating profit ÷ capital employed × 100
- **Capital employed:** total equity + non-current liabilities
- **Current ratio:** current assets ÷ current liabilities (x:1)
- **Gearing (%):** non-current liabilities ÷ capital employed × 100

3.7.2 Efficiency Ratios & the Value of Ratios

- **Payables days:** payables ÷ cost of sales × 365
- **Receivables days:** receivables ÷ revenue × 365
- **Inventory turnover:** cost of sales ÷ average inventories held (times a year)
- **Limitations of ratios:** past data, one date, different accounting methods, ignore non-financial factors

3.7.3 Overall Performance

- **Core competence:** capability that sets the business apart and is hard to copy
- **Elkington's Triple Bottom Line:** profit, people, planet
- **Non-financial data:** operations, HR and marketing data

3.7.4 Political & Legal Change

- **Laws (AQA):** competition, labour market, environment
- **Government policy (AQA):** enterprise, regulators, infrastructure, environment, international trade

3.7.5 Economic Change

- **Economic factors (AQA):** GDP, taxation, exchange rates, inflation, fiscal and monetary policy, open trade v protectionism
- **Stronger pound:** exports dearer abroad, imports cheaper
- **Fiscal policy:** government spending and taxation
- **Monetary policy:** interest rates set by the Bank of England
- **Protectionism:** tariffs, quotas and other trade barriers

3.7.6 Social Change

- **Social factors (AQA):** demographic change, migration, consumer lifestyle and buying behaviour, growth of online businesses

3.7.6 Corporate Social Responsibility

- **CSR:** responsibility for effects on society and the environment beyond the law
- **Shareholder concept:** main duty is to maximise returns to owners
- **Stakeholder concept:** consider the interests of all stakeholders
- **Carroll's CSR pyramid (base up):** economic, legal, ethical, philanthropic

3.7.6 Technological Change

- **Effects of technology:** automation, e-commerce, new skills, new markets, lower barriers to entry

3.7.7 Porter's Five Forces

- **Porter's five forces:** threat of new entrants, buyer power, supplier power, threat of substitutes, competitive rivalry
- **Barriers to entry:** factors that make it hard for new firms to enter a market

3.7.8 Investment Appraisal: Payback & ARR

- **Payback:** time for net cash flows to cover the initial cost
- **Payback part year:** amount still needed ÷ next year's net cash flow × 12 months
- **ARR (%):** average annual return ÷ initial cost × 100
- **Average annual return:** (total net cash flows − initial cost) ÷ number of years

3.7.8 Investment Appraisal: NPV & Other Factors

- **Present value:** net cash flow × discount factor
- **NPV:** total present values − initial cost
- **Other factors in investment:** investment criteria, non-financial factors, risk and uncertainty